NARROW RALLY PLAYBOOK · 1 PAGE · FREE

When the Index Is Green but Only One Crowd Carried It

A repeatable way to read a rally led by one sector: the index-volume test, the volume-mismatch rule, the extension check, and the 3-line plan.

1) THE 4-LINE TAPE READ (DO THIS FIRST, IT TAKES 60 SECONDS)

LINE	WHAT IT TELLS YOU	HOW YOU USE IT
Index % change	Direction and how much the crowd is bidding.	A +1.3% index on light volume is a thinner green than a +1.3% index on 1.5x volume.
Index volume vs 20-day avg	Participation. Price without participation is rotation.	Under 1.0x = the green is narrower than it looks on screen.
Breadth proxy (IWM / small caps)	Whether money is entering the market or just moving sideways inside it.	IWM volume under 1.0x on an up day = money rotating, not entering.
VIX vs its own 20-day avg	How much fear is priced in.	VIX below its average on a big up day = calm, but also complacent.

Worked on the Nov 11, 2026 session (public market data): SPY 759.81 **+1.32%** on **0.79x** its 20-day average volume, QQQ 690.38 +2.31% on 0.86x, IWM 283.09 +0.89% on **0.68x**, VIX 17.49 (down from 19.46, below its 19.30 average). The index was green on *below-average* participation — that is a rotation day, not a risk-on wave.

2) THE INDEX-VOLUME TEST (1 LINE)

INDEX VOLUME VS 20-DAY AVG	WHAT IT USUALLY MEANS	HOW TO READ IT
< 0.9x	Thin participation	Price moved on light volume. Something small and loud did the moving. Fade the headline, watch the leaders.
0.9x – 1.2x	Normal	Ordinary session. Wait for a level to actually break before you believe the move.
> 1.3x	Broad participation	Real repositioning. The green is worth trusting more than on a thin day.

Nov 11: SPY 0.79x, QQQ 0.86x, IWM 0.68x, XLK 1.18x, SMH 1.24x, SOXX 1.30x. The chips carried volume; the broad market did not. Only the sector ETF did real work.

3) THE VOLUME-MISMATCH RULE (THE PART NOBODY CHECKS)

Biggest volume, smallest move
The name with the heaviest relative volume that barely moved is where the crowd is changing hands. That is absorption or distribution, not leadership. On Nov 11 that was NVDA: **2.03x** volume for a **+2.87%** move — the biggest volume in the group on the smallest gain.

Largest move, thin volume
The name ripping with volume near or below its average is the one most likely to be borrowed strength. On Nov 11: SMCI **+9.50%** on 0.96x, INTC **+7.52%** on 0.89x, GLW **+7.43%** on 0.94x.

Sort your watchlist by volume ratio, then by move. If the top-volume name is not near the top of the gain column, the day's real information is in the gap between those two columns.

4) THE EXTENSION CHECK (PERCENT FROM THE 200-DAY)

DISTANCE FROM 200-DAY	WHAT IT USUALLY MEANS	HOW TO USE IT
+25% or more	Extended	Biggest gap to a moving average. Entering here needs a tight, predefined stop or you are buying the easy part of the move.
−20% or worse	Broken structure	A bounce inside a broken trend is a trade, but it is a *different* trade than buying strength.
−5% to +5%	Fair value	Least crowded part of the move. Where the risk/reward usually is best.

Nov 11 close: AMD 552.90 sat **+31.6%** above its 200-day (largest gain in the group *and* the most extended). NVDA 173.73 sat **−15.0%** below, GLW 120.46 **−23.0%** below, INTC 62.50 **−28.4%** below, SMCI 30.43 **−6.6%** below. The strongest ticker was the most extended one — a rally running on the most crowded names is the one most likely to hand the move back.

5) 5 RULES FOR A NARROW RALLY DAY

1. **Never buy the index because it's green.** Check the index volume first. A green index on 0.8x volume is the market telling you who did the work — and it wasn't the average participant.
2. **Rank your watchlist by volume ratio, not by % move.** The volume-mismatch rule finds the real information in a loud session.
3. **Extension decides position size, not conviction.** A +30% extended name gets a smaller size and a tighter stop than the same idea on a name sitting at its 200-day.
4. **One sector doing all the work means the exit is narrow.** When IWM volume is under 1.0x on an up day, there is no broad bid underneath the leaders.
5. **One level, one trigger, one invalidation.** If you can't name all three before entry, you're reacting to the screen, not trading a plan.

6) THE 3-LINE PLAN (WRITE IT BEFORE YOU CLICK)

Line 1 — Trigger: the level that activates the idea (e.g. "holds above the prior-day VWAP after 10:30")
Line 2 — Target: the next level or the measured move
Line 3 — Invalidation: where you're proven wrong and out
Example — Trigger: reclaims and holds above VWAP · Target: prior swing high · Invalidation: back under the opening-range low

7) THE PRE-MARKET CHECK (5 MINUTES)

1. Index volume vs 20-day avg? **2.** Breadth proxy (IWM) up or flat on light volume? **3.** Which name had the biggest volume — and did it move? **4.** Percent from the 200-day on your name? **5.** Write trigger, target and invalidation for every name before the open.

Want the full system? Get the Whale Trader's Toolkit — it turns this into a daily system: setup dashboard, whale flow tracker, trade journal with P&L and win rate, watchlist with invalidation lines, and a risk calculator. Educational process, not signals.

Educational content only — not financial advice. No performance claims or guarantees. Trading involves risk of loss. All prices and levels shown are historical public market data used as an illustration of the method; they are not recommendations. Always define your invalidation and risk a small, predetermined amount.